



**SELL**  
HIGH CONVICTION

|                |                 |
|----------------|-----------------|
| Last Price     | <b>\$307.34</b> |
| DCF Fair Value | <b>\$190.82</b> |
| Implied        | <b>-37.9%</b>   |

|                 |               |              |             |             |                |              |
|-----------------|---------------|--------------|-------------|-------------|----------------|--------------|
| LAST            | P/E           | RSI          | BETA        | SHARPE      | MAX DD         | VAR 95%      |
| <b>\$307.34</b> | <b>37.16x</b> | <b>58.28</b> | <b>0.91</b> | <b>1.96</b> | <b>-13.82%</b> | <b>1.88%</b> |

1 Executive Summary

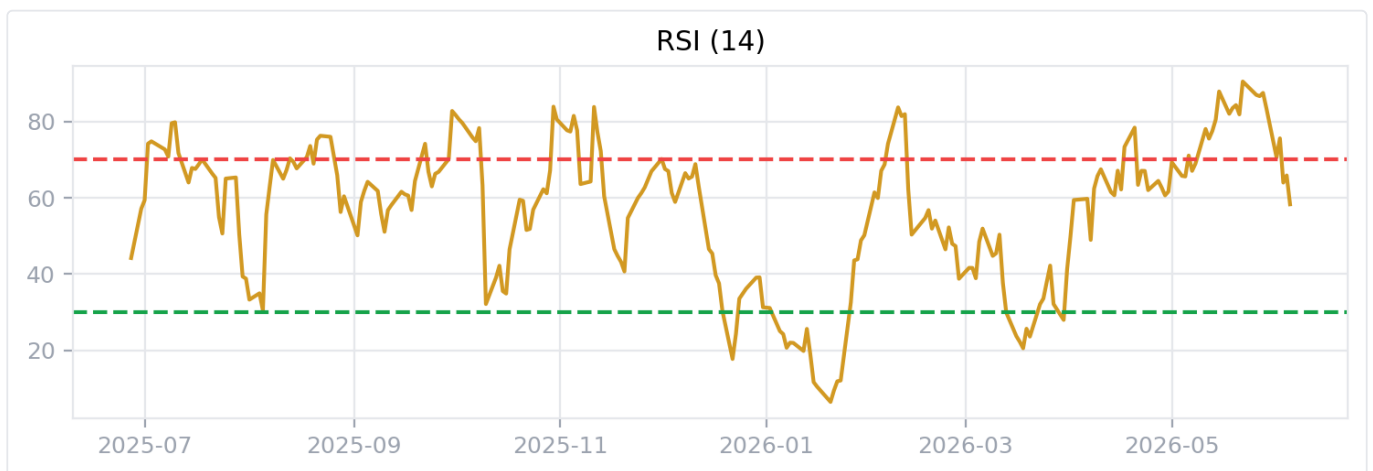
Apple trades at a significant premium to intrinsic value, with current price of \$307.34 standing 61% above the DCF base case fair value of \$190.82. While the company demonstrates exceptional operational strength—evidenced by a 27.15% profit margin, 141.47% return on equity, and 19.40% quarterly EPS growth—the valuation disconnect is severe and largely unjustifiable. At a 37.16x P/E ratio versus a peer median of 24.83x, AAPL commands a 49.66% premium that cannot be sustained given growth rates are only modestly exceeding revenue expansion at 16.60%. The stock exhibits strong technical momentum with price above both its 50-day (\$281.24) and 200-day (\$265.19) moving averages and an RSI of 58.28, yet fundamental metrics suggest material downside risk. Even the bull case DCF valuation of \$247.63 implies 19.4% downside from current levels, while the bear case of \$150.99 portends a -51% drawdown. With elevated leverage (Debt/Equity of 79.55) and proximity to 52-week highs, risk-reward dynamics strongly favor downside as the market reprices toward more defensible valuation levels.

2 Company Overview

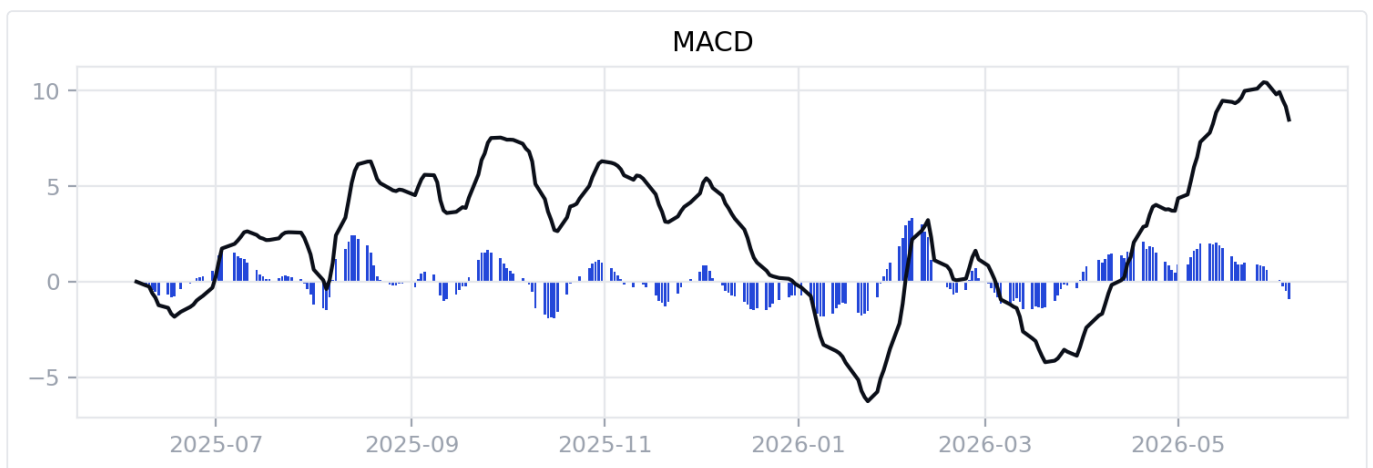
Apple represents one of the world's most valuable companies with a market capitalization of \$4.51 trillion and a demonstrated track record of operational excellence. The company is growing revenues at 16.60% with exceptional profitability margins of 27.15% and generating outstanding returns on equity of 141.47%, positioning it as a market leader in both innovation and capital efficiency. Despite these operational strengths, the stock has become progressively expensive relative to peers and intrinsic value, trading at a 49.66% premium to the peer median P/E of 24.83x while its own P/E stands at 37.16x.

3 Technical Analysis

AAPL exhibits textbook bullish technical positioning with price at \$307.34 trading well above both its 50-day moving average of \$281.24 and 200-day moving average of \$265.19, supported by positive momentum indicators including an RSI of 58.28 in the growth zone and a MACD of 8.46. However, the stock trades near resistance at its 52-week high of \$315.20 and the Bollinger Upper band of \$318.22, signaling potential topside exhaustion. The MACD signal line of 9.40 sits above the MACD value, indicating momentum is beginning to roll over and suggesting a mean-reversion event may be near at hand.



Relative Strength Index (14-day)



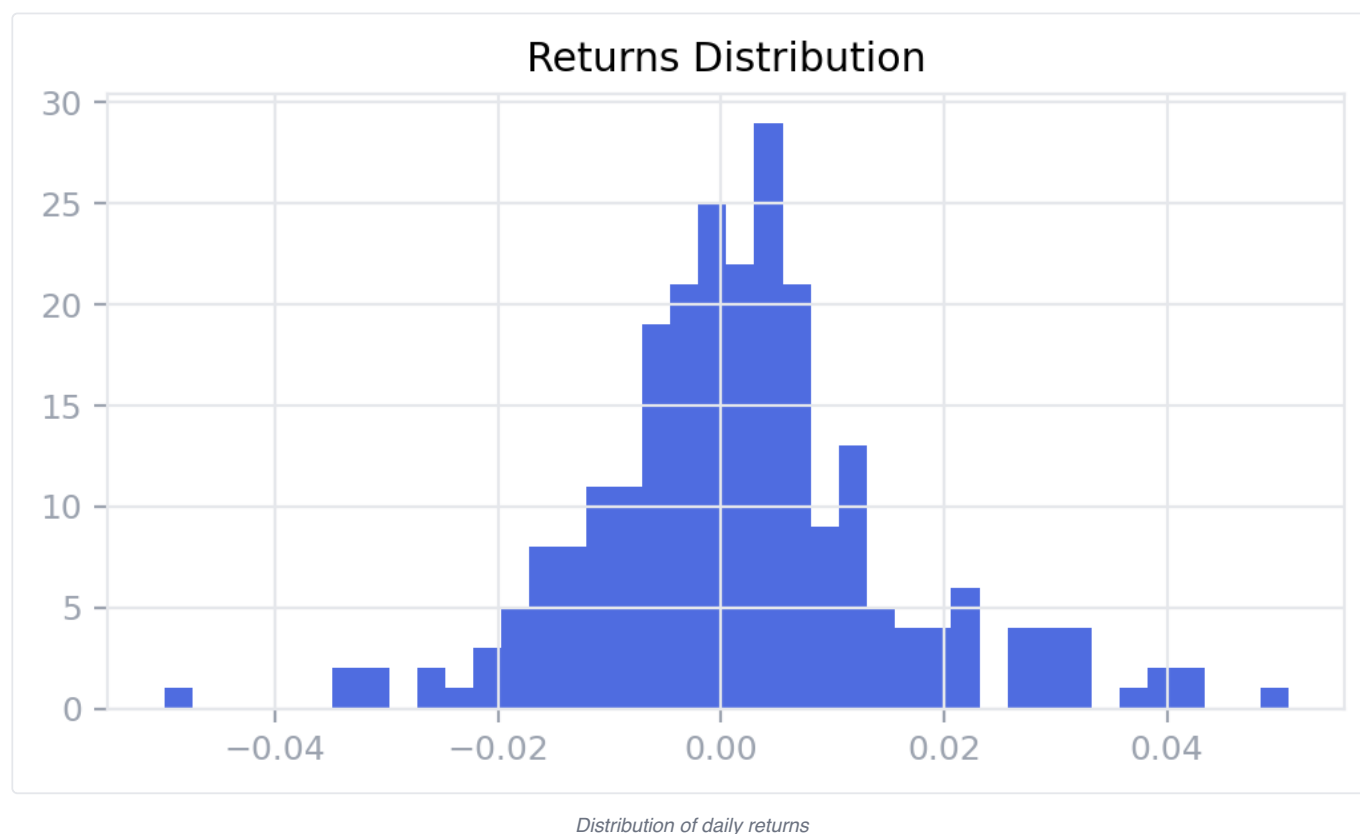
MACD vs. signal line

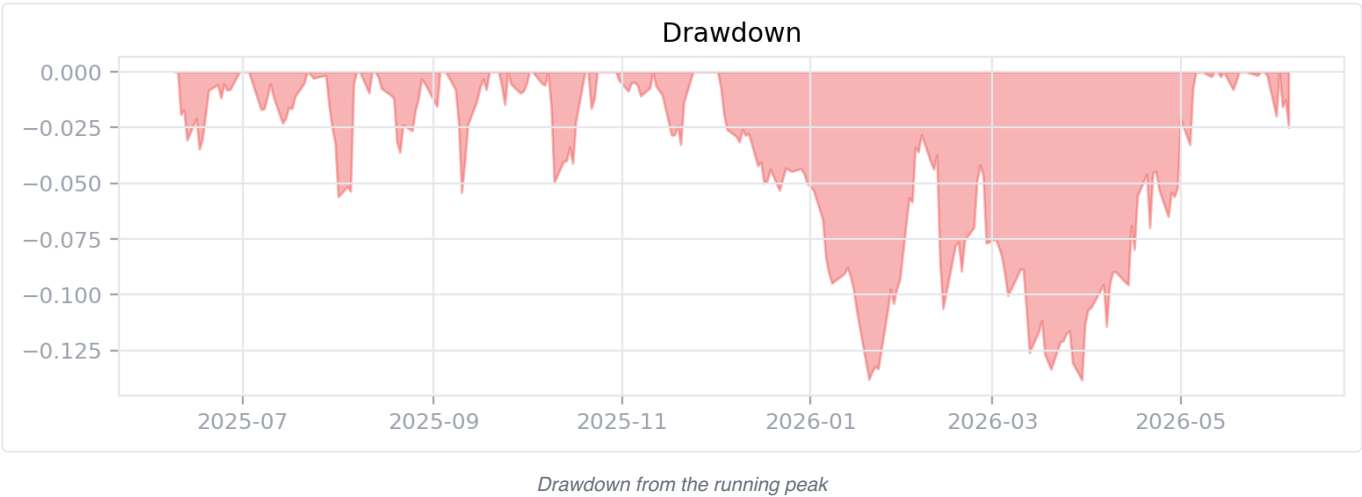
## 4 Fundamental Analysis

AAPL demonstrates industry-leading operational performance with a 27.15% profit margin, 141.47% return on equity, and 19.40% quarterly EPS growth that significantly exceed peer averages. Revenue growth of 16.60% combined with margin expansion has driven strong absolute earnings delivery, though the rate of EPS growth is only modestly decelerating from revenue growth, suggesting margin expansion may be plateauing. However, these exceptional operational metrics are substantially undermined by an elevated capital structure with Debt/Equity of 79.55 and most critically by a valuation that has become wholly disconnected from fundamentals.

## 5 Risk Assessment

Despite strong risk-adjusted metrics including a Sharpe ratio of 1.96, a beta of 0.91 relative to the S&P 500, and a downside deviation of 13.74%, AAPL presents material downside risk stemming from severe valuation overstretch. The stock's 61% premium to DCF base case fair value of \$190.82, combined with a 49.66% P/E premium over peers and an elevated P/B ratio of 42.33x, reflects speculative pricing wholly unsupported by the discount rate (WACC of 8.33%, Cost of Equity of 8.40%). The bear case DCF scenario of \$150.99 per share portends a potential -51% drawdown, and while the maximum historical drawdown of -13.82% and value at risk at 95% confidence of 1.88% appear contained, these metrics understate tail risk given the fundamental valuation disconnect.





6 Valuation & Forecast

Apple trades significantly above intrinsic value across all DCF scenarios, with the current price of \$307.34 representing a 61% premium to the base case fair value of \$190.82 and a 24% premium even to the bull case scenario of \$247.63. On a relative basis, the P/E ratio of 37.16x versus a peer median of 24.83x commands a 49.66% premium that cannot be justified by EPS growth of 19.40%—rule of thumb suggests a sustainable premium should approximate the growth rate. The elevated P/B ratio of 42.33x and dividend yield of 35.00% further confirm stretched valuation, while the stock sits at the upper extreme of its Bollinger bands at \$318.22, indicating sentiment-driven overextension.

7 Recommendation

While technical indicators do not present an immediate capitulation signal, the fundamental valuation disconnect warrants a cautious stance. The stock offers limited upside from current levels, with even optimistic bull case scenarios implying 19.4% downside, while base case fair value suggests 38% downside potential. Risk-reward dynamics are unfavorable at current prices, and a mean-reversion toward fair value appears the most probable outcome as the market reassesses valuation in a shifting rate environment.

Financial Detail

FUNDAMENTALS

|                  |         |
|------------------|---------|
| P/E Ratio        | 37.16x  |
| P/B Ratio        | 42.33x  |
| Debt/Equity      | 79.55   |
| Return on Equity | 141.47% |
| EPS Growth (Q)   | 19.40%  |
| Profit Margin    | 27.15%  |
| Revenue Growth   | 16.60%  |
| Dividend Yield   | 35.00%  |
| Market Cap       | \$4.51T |

RISK METRICS

|                       |         |
|-----------------------|---------|
| Beta (vs SPY)         | 0.91    |
| Annualized Volatility | 22.37%  |
| Average True Range    | \$5.73  |
| Max Drawdown          | -13.82% |
| Sharpe Ratio          | 1.96    |
| Value at Risk (95%)   | 1.88%   |
| Downside Deviation    | 13.74%  |

RELATIVE VALUATION — AAPL VS. SECTOR PEERS

| MULTIPLE  | AAPL  | PEER MEDIAN | VS. PEERS |
|-----------|-------|-------------|-----------|
| P/E       | 37.2x | 24.8x       | +50%      |
| P/B       | 42.3x | 8.9x        | +374%     |
| EV/EBITDA | 28.3x | 17.0x       | +66%      |

| MULTIPLE       | AAPL  | PEER MEDIAN | VS. PEERS |
|----------------|-------|-------------|-----------|
| Profit Margin  | 27.2% | 29.5%       | -8%       |
| Revenue Growth | 16.6% | 18.3%       | -9%       |

Peer set: MSFT, NVDA, ORCL, ADBE, CRM. "vs. Peers" is the subject's premium (+) or discount (-) to the peer-group median.

VALUATION

|                        |          |
|------------------------|----------|
| DCF Enterprise Value   | \$2.80T  |
| DCF Fair Value / Share | \$190.82 |
| DCF Value — Base Case  | \$190.82 |
| DCF Value — Bull Case  | \$247.63 |
| DCF Value — Bear Case  | \$150.99 |

DCF ASSUMPTIONS

|                          |                                          |
|--------------------------|------------------------------------------|
| Risk-free rate (10Y UST) | 4.54%                                    |
| Equity risk premium      | 4.23%                                    |
| Beta                     | 0.91                                     |
| Cost of equity (CAPM)    | 8.40%                                    |
| Cost of debt (pre-tax)   | 6.04%                                    |
| Tax rate                 | 21.00%                                   |
| Equity / debt weight     | 98% / 2%                                 |
| WACC (discount rate)     | 8.33%                                    |
| FCF growth               | 15.0% (company revenue growth (clamped)) |
| Terminal growth          | 2.00%                                    |
| Forecast horizon         | 5 years                                  |

WACC derived from CAPM (cost of equity = risk-free +  $\beta$ ·ERP) blended with after-tax cost of debt by capital weights. Growth taken from company fundamentals; risk-free rate is the live 10Y US Treasury yield.

DCF ENTERPRISE VALUE SENSITIVITY (\$B)

| Growth \ WACC | 6%    | 8%    | 10%   |
|---------------|-------|-------|-------|
| 13%           | 3,837 | 2,586 | 1,938 |
| 15%           | 4,167 | 2,803 | 2,096 |
| 17%           | 4,521 | 3,034 | 2,265 |

 Recent Headlines

- What investors can expect from Apple's WWDC
- Apple's Stock Could Be On The Verge Of A Major AI Breakout After WWDC, Says Top Investment Bank — But One Key Challenge Remains
- Apple AI Lawsuit Settlement Puts Spotlight On iPhone Marketing And Risk
- Apple Stock Looks Strong. One Number Says Be Careful.
- Arm Insiders Sold \$25.6 Million in Stock. They Missed a Historic Rally.
- Why Dan Ives Sees Apple WWDC As A Major AI Catalyst for AAPL
- Dow Jones Futures: What To Do As Market Rally Faces First Real Test; SpaceX IPO, Apple, Oracle Loom
- Apple (AAPL) Stock Moves -1.18%: What You Should Know
- Apple Has a Big Week Ahead With AI Siri Expected at WWDC. Here's How Much Traders See The Stock Moving
- Apple Set To Introduce AI-Powered Siri Digital Assistant At WWDC

✓ Verification Audit

50 supported · 0 contradicted · 0 unsupported — 50 atomic claims reconciled against the computed ground-truth

✓ Every numeric claim reconciled against the ground-truth — no unresolved items.

A Appendix — Computed Metrics

TECHNICAL

|                 |          |
|-----------------|----------|
| Last Close      | \$307.34 |
| SMA 50          | \$281.24 |
| SMA 200         | \$265.19 |
| RSI (14)        | 58.28    |
| MACD            | 8.46     |
| Signal Line     | 9.40     |
| Bollinger Upper | \$318.22 |
| Bollinger Lower | \$290.29 |
| 52-Week High    | \$315.20 |
| 52-Week Low     | \$195.64 |

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|                  |         |
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| DCF Value — Bear Case  | \$150.99 |
| WACC (Discount Rate)   | 8.33%    |
| Cost of Equity (CAPM)  | 8.40%    |
| Cost of Debt (pre-tax) | 6.04%    |
| Peer Median P/E        | 24.83x   |
| P/E Premium vs Peers   | 49.66%   |

SENTIMENT

|                |       |
|----------------|-------|
| News Sentiment | -0.01 |
|----------------|-------|

DISCLOSURES

This report was generated by the Enhanced Stock Analysis Tool for research and educational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Market data is sourced from yFinance as of 05 Jun 2026. The narrative is produced by a language model; every numeric claim in it is reconciled against the independently computed metrics shown above (see the Verification Audit). DCF fair values are model estimates under stated assumptions and are highly sensitive to inputs. Past performance is not indicative of future results.